



INSURING LIVES • SUPPORTING WOMEN • SERVING COMMUNITIESSM

ANNUALIZED FINANCIAL AGREEMENT

In order to assist you in the development of business as a representative of Royal Neighbors of America, we will provide the financial arrangement described below. We may, however, terminate this financial arrangement at any time and may terminate it if a minimum of three certificates are not sold by you within any 90 day period.

For purposes of this agreement “we”, “our”, “us” or “the Society” refer to Royal Neighbors of America and “you”, “your”, “yours”, or “the agent” refer to the individual named above.

FINANCIAL ARRANGEMENT

1. We will, at our discretion, advance to you money in excess of commissions earned and payable to you. These advances will be in the form of discounted annualized first year commissions on new initially paid for life insurance sold on the Electronic Funds Transfer (EFT) mode of collection. All advances shall constitute a lien against all earnings under your contract with Royal Neighbors of America.
2. The annualized advance on initial first year commissions on Electronic Funds Transfer (EFT) business will be _____% of the anticipated first year commissions. For Universal Life policies, only commissions on target premiums will be annualized and there will be no annualization of commissions on excess premiums.
3. The annualized advance on initial first year commissions on Electronic Funds Transfer (EFT) business may be retained by us to liquidate any charge back of commissions or any debit balance that may exist.
4. Commissions on business written on all other modes of collection will be paid as earned, except that they may be retained by us to liquidate any charge back of commissions or any debit balance that may exist.
5. Commissions earned in excess of the annualized advance on a policy will also be paid as earned, but these may also be withheld to liquidate a charge back or debit balances that may exist.
6. The maximum advance on any one certificate will be \$2,000. These advances will be paid at the same frequency as your commissions.
7. Commissions on additions, increases, or reissues of certificates previously advanced will not cause recalculation of the advance. Commissions on additions and increases will be credited as earned. Likewise, no annualized advance will be paid on any conversion or exchange credit; commissions on such business will be credited as earned.
8. Annualization is not available on annuity business.
9. An Electronic Funds Transfer (EFT) on a certificate, on which an advance has been made, that is returned unhonored by the bank will result in a charge back of the unearned portion of the advance. The amount of the charge back shall be the full advance previously paid on the certificate minus all first year commissions actually earned on the certificate prior to the unhonored Electronic Funds Transfer (EFT). The charge back will be deducted from any amounts due the agent until fully repaid. It is fully understood that all payments of credits, commissions, advances or any amounts due the agent will cease until the charge back has been fully recaptured.

ANNUALIZED FINANCIAL AGREEMENT

This Financial Agreement may be terminated by the Society at any time without notice by discontinuing the payment of advances.

If this Financial Agreement is terminated, all commissions earned as of the date of termination or which may be earned in the future will be withheld and applied to any debit balance which may exist in the agent's account.

In consideration of the benefits received by you as a result of any advances made by the Society, upon termination of this Financial Agreement, your agent's contract or upon demand, you agree to repay us all sums advanced to you by the Society which may remain outstanding at the time of such termination demand. We may apply all commissions and other remuneration whatsoever due you to liquidate such indebtedness. We also retain the right to use any other method of debt collection which we deem advisable. In the event we are required to retain the services of an attorney to collect any indebtedness hereunder, you agree to pay reasonable attorney's fees plus court and other reasonable costs.

Any failure by us to insist upon strict compliance with the terms of provision of the Financing Agreement shall not be construed as a waiver unless specifically agreed to by us in writing.

You agree that you have read and understand the foregoing Financial Agreement and have freely and voluntarily executed it for the purposes and reasons stated in it. You have signed it with the intention that it shall be fully binding upon you, your heirs, executors, administrators and assigns.

No one other than our President can modify this agreement or waive any of the provisions. Any modification or waiver must be in writing and signed by such officer.

EFFECTIVE DATE

This agreement shall take effect on the date shown below when signed by all parties. This agreement shall be governed by the laws of the State of Illinois.

PRINT NAME AS IT APPEARS ON AGENT'S CONTRACT

ROYAL NEIGHBORS OF AMERICA

SIGNATURE

BY: _____

TITLE: _____

DATE

EFFECTIVE DATE OF AGREEMENT

_____ OF _____

I recommend the above agent be considered for payment of annualized commissions.

SIGNATURE OF UPLINE RECRUITER

AGENT NUMBER